Syllabus Edition
First teaching 2025
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Product Life Cycle

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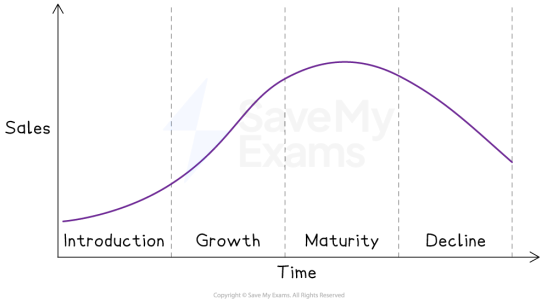
Stages of the product life cycle

- **The product life cycle describes the different stages a product goes through from its conception to its eventual decline in sales**
- There are typically **four stages in the product life cycle:** introduction, growth, maturity, and decline

The product life cycle diagram



The four stages of the product life cycle: introduction, growth, maturity and decline

Interpreting product life cycle diagrams

- Each stage of the product life cycles affects a business in different ways, such as changes in sales, profit, cash flow and how the product is marketed
- By recognising which stage a product is in, businesses can make better decisions to stay competitive and profitable

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

- Sales grow slowly as the product is still new and not widely known
- Cash flow is usually negative due to high promotion, advertising and distribution costs
- Marketing focuses on building awareness and interest

Growth

- Sales rise quickly as the **product gains popularity**
- The business works to increase market share and boost production to meet demand
- Cash flow often turns positive as revenue grows and costs are spread over more units
- Marketing aims to stand out from competitors and build brand loyalty

Help me understand

Maturity

- **Sales remain high** but **growth slows** due to market saturation
- Cash flow is usually strong as sales continue and costs fall through efficiency and economies of scale
- Marketing focuses on keeping market share and improving profits through cost-cutting or expanding into new markets

Decline

- **Sales fall** as the product becomes outdated or replaced by newer alternatives
- The business shifts to controlling the decline and cutting costs
- Cash flow may turn negative due to falling sales and higher related costs
- Marketing may involve discounting, clearing stock or finding new uses for the product

Examiner Tips and Tricks

Be careful not to assume all products follow the life cycle perfectly – in exams, show awareness that some products skip stages or decline quickly, which demonstrates deeper understanding

Extension strategies

- **Extension strategies refer to the techniques used by businesses to extend the life of a product beyond its natural life cycle**
- These strategies are **designed to boost sales** and maintain profitability for a product that has reached the **late maturity or decline stage** of its life cycle

Types of extension strategies

customer group

Advantages	Disadvantages
• Increases potential sales and revenue • Reduces dependence on one market	• May face legal or cultural challenges • Expensive to enter unfamiliar markets

Find new uses for a product

- Promoting different ways the product can be used

Advantages	Disadvantages
• Attracts new customer segments • Extends product life without major changes	• May require extra research and marketing • Customers may not accept new use

Adapt the product or packaging

- Changing design, features, size or packaging to attract new interest

Advantages	Disadvantages
• Keeps the product looking fresh • Can target specific customer needs	• Increases production costs • Risk of confusing loyal customers

Increase advertising

- Launching a new advertising campaign to remind or attract customers

Advantages	Disadvantages
• Boosts brand awareness • Can bring back interest in the product	• Advertising can be expensive • Might not lead to more sales

Increase sales promotion

- Offering discounts, loyalty rewards or competitions to increase short-term sales

Advantages	Disadvantages

Helps clear stock	Customer loyalty

Recommending a suitable extension strategy

- A business must carefully choose the right extension strategy based on its **product, market** and **resources**

Factors affecting the choice of extension strategy

The choice of extension strategy depends on factors such as the cost, the intended target market and a product's brand image

1. **Type of product**
   - Some products are easier to adapt than others
     - For example, a smartphone can be upgraded regularly, while bottled water has fewer options for change
   - Perishable goods or fashion items may need quicker updates to stay relevant
2. **Target market**
   - The business must consider who its customers are and what they want
   - If the target market is young and trend-sensitive, advertising or new packaging may work well
   - If the market is price-sensitive, sales promotions could be more effective
3. **Cost and budget**
   - Some strategies are cheaper than others
     - For example, increasing advertising or offering promotions can be done quickly but may be costly
   - Adapting the product or entering new markets often requires more time and money
4. **Competitor actions**

- This helps maintain market share and keeps the product competitive

5. **Brand image**
   - A well-known brand must protect its reputation
   - Some strategies, like discounts, may hurt a premium brand's image

6. **Legal or cultural factors**
   - When entering new markets, the business must consider different laws and customer preferences
   - Packaging, promotion, or even the product itself may need to change to suit the local culture or rules

Case Study

Choco Luxe Extension Strategies

ChocoLuxe is a French luxury chocolate brand. Its *Dark Caramel Crunch* bar is now in the **decline stage**, with falling sales due to changing consumer habits

- The company is considering three **extension strategies**

Adapting the product

- Create a low-sugar version to appeal to health-conscious customers

Advantages	Disadvantages
• Attracts a new audience Keeps the brand up-to-date	• Development costs • May lose original customers

Entering new markets

- Sell in new regions such as Asia or the Middle East

Advantages	Disadvantages

Increased advertising

- Launch a campaign highlighting ethical sourcing and premium quality

Advantages	Disadvantages
• Builds brand awareness • Reminds customers of quality	• Expensive • May not boost sales if product feels outdated

Recommendation

- ChocoLuxe should **adapt the product** by launching a **low-sugar version**, supported by fresh advertising
  - This approach targets current trends and builds on the brand's strengths
- **Entering new markets** could be explored later but is not urgent
- **Advertising** is high cost and may not be enough to persuade customers to buy the dated product

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